

21 Expenses

6 primary questions | Oldest to newest

2026 objectives: 4.2.3, 5.1.1, 5.3.4

4 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 September 2005 Q1	10 marks
CA1-P2 April 2006 Q3	8 marks
CA1-P2 September 2008 Q2	8 marks
CA1-P2 September 2010 Q4	14 marks
CA1-P2 April 2012 Q4	15 marks
CA1-P2 September 2017 Q5	17 marks

CA1-P2 | September 2005 | Q1

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Related: Ch 30.

- 1** A large employer is setting up a benefit scheme for its employees. It is intended that the scheme will be administered in-house.

Discuss ways in which the costs of setting up and administering the scheme can be minimised. [10]

CA1-P2 | April 2006 | Q3

[Current topic](#) | [8 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

3 An insurance company has made the following purchases during the year:

- (a) a new city centre sales office
- (b) a new computer system for the payment of annuities
- (c) a new computer system for the payment of staff salaries
- (d) the routine regular replacement of a proportion of staff cars

Describe how each of these items might be dealt with in the annual analysis and allocation of expenses.

[8]

CA1-P2 | September 2008 | Q2

Current topic | 8 marks total | Original PDF p2

Related: Ch 22.

- 2** An insurance company is planning to enter the market for providing annuities and other vehicles for retirement income. It is considering a range of contracts under which a client will receive income during their retirement, in exchange for a lump sum premium payable when the client retires.
- (i) Outline the areas in which the provider will incur costs in setting up and managing these contracts. [4]
 - (ii) Discuss how the size and incidence of these costs would be affected by the precise form of the contracts and any options/guarantees that might be included. [4]
- [Total 8]

CA1-P2 | September 2010 | Q4

Current topic | 14 marks total | Original PDF p3

Related: Ch 7, Ch 23.

4 A large general insurance company writes a significant volume of personal insurance business. The company is considering introducing a new pet insurance policy.

(i) List the risks that the pet insurance policy is likely to cover. [3]

(ii) Discuss how to categorise and load for expenses when pricing a new general insurance product. [8]

It has been suggested that only marginal expenses are used for the purpose of pricing the new pet insurance policy.

(iii) Discuss this approach. [3]

[Total 14]

CA1-P2 | April 2012 | Q4

Current topic | 15 marks total | Original PDF p2

Related: Ch 30.

- 4** A group of neighbours living in a city have decided they would like occasional access to a car. They are investigating purchasing a car between them and sharing all the expenses of owning the car.

- (i) List the expenses likely to be incurred. [3]
- (ii) Outline how these expenses could be allocated between each member of the group. [3]

Car Club is an established company that has recently started operating in the city. An individual can become a member of Car Club by paying an annual fee and can then hire a car when needed on a pay as you go basis.

- (iii) Discuss the relative attractions of joining Car Club compared with participating in the shared car purchase arrangement. [5]

Car Club is reviewing its insurance arrangements.

- (iv) Suggest restrictions Car Club can put on its members to keep insurance premiums low. [4]
- [Total 15]

CA1-P2 | September 2017 | Q5

Current topic | 17 marks total | Original PDF p3

Related: Ch 23.

5 An insurance company writes a variety of without profit non-linked contracts.

- (i) Describe how expenses might be allocated across the different classes of business. [7]

The company has just completed a theoretical allocation of its expenses across the different classes of business, and has calculated the corresponding loadings to be applied in pricing.

Contracts are priced using a traditional equation of value approach. The company has set up the equations to calculate the risk premiums. It now needs to incorporate the theoretical expense loadings into the equations.

- (ii) Describe, for each of the following, how the expense loadings should be incorporated into the equation of value. You should ignore allowances for tax and reserving.

- (a) expenses of paying level immediate annuities
- (b) investment expenses of endowment assurances
- (c) underwriting expenses of term assurances
- (d) underwriting expenses of long term care contracts

[8]

- (iii) Discuss why the theoretical expense loadings may not be used in practice. [2]

[Total 17]